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VALUATION REPORT

Demo Naturals Private Limited

Equity value as at 31 March 2026

Discounted cash flow, with a market cross-check

ILLUSTRATIVE SAMPLE · FICTIONAL COMPANY

PREPARED FOR The Board of Directors, Demo Naturals Private Limited	PREPARED BY AlphaZet Services, Ahmedabad
VALUATION DATE 31 March 2026	REPORT DATE 14 April 2026
PURPOSE Illustrative: funding discussion	STANDARD OF VALUE Fair value of equity, going concern

This document is a sample created to show the structure and depth of our valuation work. The company, its people, the shareholders and every number in it are invented. It is not based on any client and must not be used for any decision, filing or transaction.

Contents and executive summary

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Executive summary

Indicative equity value	DCF equity value	Market cross-check
Rs 970 lakh	**Rs 983 lakh**	**Rs 940 lakh**
weighted conclusion	at 17.5% WACC	2.0x FY26 revenue

We were asked to estimate the equity value of Demo Naturals Private Limited (the Company) as at 31 March 2026 for an illustrative funding discussion. We used the discounted cash flow (DCF) method as the primary method and a revenue multiple as a market cross-check, weighted 70:30.

On the assumptions in this report, the indicative equity value is Rs 970 lakh. The DCF method gives Rs 983 lakh, with a range of Rs 798 to 1,260 lakh when the discount rate moves by 1.5 percentage points and terminal growth by 1 point. The revenue multiple method gives Rs 695 to 1,185 lakh.

The result depends mainly on whether revenue growth continues from Rs 490 lakh in FY26 to about Rs 2,322 lakh in FY31 and whether EBITDA margin rises from 8% to 18%. About 75% of enterprise value sits in the terminal value, which is why we show the sensitivity analysis in section 12.

Method	Equity value (Rs lakh)	Weight	Weighted (Rs lakh)
Discounted cash flow	982.5	70%	687.8
Revenue multiple (mid 2.0x)	940.0	30%	282.0
Indicative equity value		100%	969.8

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Engagement, purpose and scope

Purpose. The Board asked for an independent view of equity value to prepare for a discussion with prospective investors. The report is not prepared for a statutory filing, a tax computation or a transaction that requires a registered valuer.

Standard and premise of value. Fair value of equity: the price at which the equity would change hands between a willing buyer and a willing seller, both acting with reasonable knowledge. The Company is valued as a going concern.

Valuation date. 31 March 2026. Events after this date are not reflected unless stated.

Item	Detail
Subject of valuation	100% of the equity shares of Demo Naturals Private Limited (fictional)
Currency and unit	Indian rupees, in lakh unless stated (1 lakh = 100,000)
Basis of preparation	Management information, not audited by us
Methods applied	Discounted cash flow (primary); revenue multiple (cross-check)
Methods considered, not applied	Net asset value (not meaningful for a growth brand with few tangible assets)

Sources of information

- Financial statements for FY24 and FY25 (audited) and management accounts for FY26.
- Five-year business plan (FY27 to FY31) approved by the Board, with the assumptions behind it.
- Shareholding table, cap table and the term sheet outline discussed with the investors.
- Management discussions on products, channels, customers, suppliers and hiring plans.
- Public information on the sector. In a live engagement each external source is listed with its date.

What we did not do

We did not audit or verify the information, carry out a legal or tax review, or inspect the premises. We relied on management representations, which are listed in the declaration at the end of this report.

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Company overview

Demo Naturals Private Limited is a fictional direct-to-consumer brand of herbal skin and hair care products, set up in 2021 and based in Ahmedabad. It sells through its own website and two online marketplaces, outsources manufacturing to two contract units and employs 14 people.

Item	Detail
Date of incorporation	June 2021 (fictional)
Registered office	Ahmedabad, Gujarat (fictional)
Business	Herbal skin and hair care products, online
Products	32 SKUs in 4 ranges: face, hair, body, gifting
Channels (FY26 revenue)	Own website 58%, marketplaces 36%, offline gifting 6%
Manufacturing	Outsourced to two contract units in Gujarat
Employees	14 (6 in marketing and sales, 4 in operations, 2 in product, 2 in finance and admin)

Shareholding at the valuation date (fictional)

Shareholder	Shares	Holding
Founder A (managing director)	52,000	52.0%
Founder B (director)	28,000	28.0%
Angel investors (3 individuals)	12,000	12.0%
Employee option pool (unissued)	8,000	8.0%
Total	100,000	100.0%

The option pool is unissued, so the value per share is shown on the fully diluted count in the conclusion.

Strengths and risks noted

Strengths	Risks
Repeat purchase rate above half of orders	Dependence on two marketplaces and paid social media for demand
Gross margin rising as purchasing scales	Two contract manufacturers; a quality lapse would stop sales
Own website gives direct customer data	Founder concentration: two people run most functions
Light balance sheet, small term loan	Cash burn in year one of the plan

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Industry and market context

The Company operates in the Indian personal care and beauty market, where herbal and natural positioning has grown faster than mass products and where online channels have gained share. The points below describe the sector qualitatively. A live report would add dated market-size figures and cite each source.

Factor	What it means for this Company
Demand	Customers are shifting towards ingredient-led, herbal products and are willing to try new brands online.
Competition	Many small brands and large incumbents. Differentiation comes from product quality, reviews and repeat buying.
Channels	Marketplaces give reach but take commission and set rules. Own website gives margin and customer data but needs paid marketing.
Regulation	Cosmetics are regulated for labelling, claims and manufacturing. A compliance lapse can force a product off sale.
Costs	Packaging, logistics and advertising are the main cost lines. Advertising costs rise when more brands compete for the same audience.

How this affects the valuation

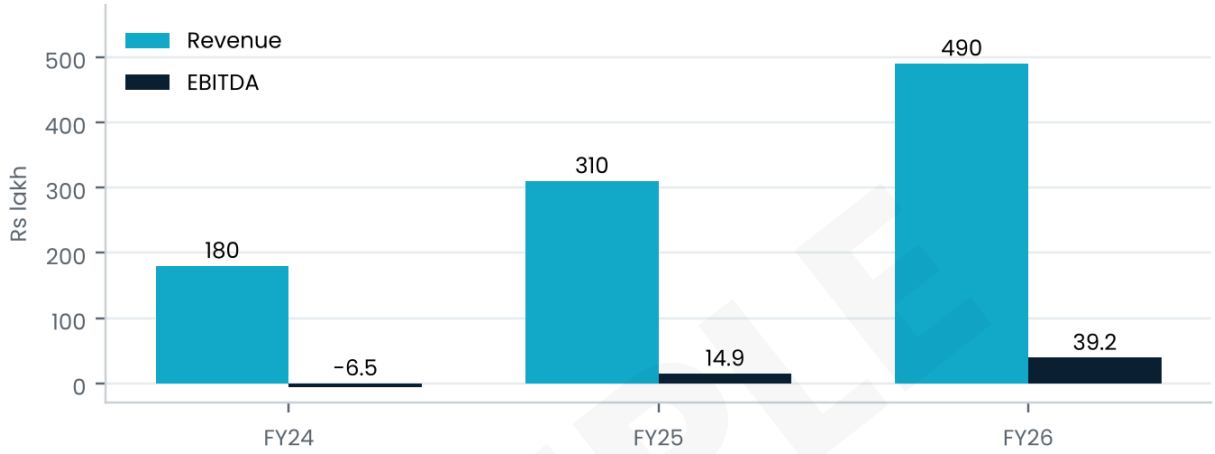
The high growth rate and low margin in the early years reflect a brand still buying growth. The terminal assumptions (5% growth and 18% EBITDA margin) assume the Company reaches a stable position within five years, which is a judgement the investors will test.

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Historical financial analysis

Revenue grew 72% in FY25 and 58% in FY26. Gross margin improved as purchases moved to bulk orders. EBITDA turned positive in FY25 and reached 8.0% of revenue in FY26. FY24 and FY25 are audited; FY26 is management accounts.



Rs lakh	FY24 (A)	FY25 (A)	FY26 (M)
Revenue	180.0	310.0	490.0
Growth		72.2%	58.1%
Gross profit	82.8	151.9	254.8
Gross margin	46.0%	49.0%	52.0%
Operating expenses	89.3	137.0	215.6
EBITDA	(6.5)	14.9	39.2
EBITDA margin	(3.6%)	4.8%	8.0%

A = audited, M = management accounts. All figures are invented for this sample.

Observations

- Operating expenses grew more slowly than revenue, which is why the margin turned positive.
- Marketing is the largest operating cost. We checked that FY26 marketing spend as a share of revenue is in line with the plan.
- Working capital is mainly inventory (about 45 days) net of supplier credit.

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Valuation approach

Three approaches are generally considered. We selected the income approach as the primary method because the Company has a credible plan and its value lies in future cash flows, and the market approach as a cross-check.

Approach	Method	Used?	Reason
Income	Discounted cash flow	Yes (primary, 70%)	Value depends on growth and future margins, which a DCF models directly.
Market	Revenue multiple of comparable companies	Yes (cross-check, 30%)	Early-stage companies are often priced on revenue. Multiples here are assumptions.
Asset	Net asset value	No	Book value is small and does not capture the brand, customer base or growth.

How the DCF works

- Project revenue, margins, tax, capex and working capital for five years.
- Calculate free cash flow to the firm (FCFF) for each year.
- Discount each year's cash flow to the valuation date at the weighted average cost of capital (WACC), using the mid-year convention.
- Add a terminal value for cash flows beyond FY31, using a constant growth rate.
- Deduct net debt to reach the equity value.

Mid-year convention

Cash flows arrive through the year, so we discount FY27 by half a year, FY28 by one and a half years and so on. The terminal value is discounted from the end of FY31.

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Key assumptions

All assumptions come from the management plan, tested against history and discussed with management. Where we changed a management figure, we say so.

Assumption	FY27	FY28	FY29	FY30	FY31
Revenue growth	55%	45%	35%	28%	22%
EBITDA margin	8%	12%	15%	17%	18%
Depreciation (% of revenue)	2%	2%	2%	2%	2%
Capex (% of revenue)	3%	3%	3%	3%	3%
Working capital (% of incremental revenue)	12%	12%	12%	12%	12%
Tax rate	25.17%	25.17%	25.17%	25.17%	25.17%

Basis for each assumption

Item	Basis
Revenue growth	Fades from 55% as the base grows. Management planned 65% in year one; we used 55% because the last two years' growth came partly from marketplace promotions that may not repeat.
EBITDA margin	Rises from 8% as purchasing scales and marketing spend per order falls. Reaching 18% is the most sensitive assumption.
Capex and depreciation	Asset-light model. Capex is mainly website, packaging moulds and a small warehouse fit-out.
Working capital	About 45 days of inventory net of supplier credit, applied to the increase in revenue.
Tax	Corporate tax at 25.17% (22% plus surcharge and cess), assumed to apply once profits arise. To be confirmed by the Company's tax adviser.
Terminal growth	5.0%, below the discount rate and in line with long-term nominal growth of the economy.
Net debt	Rs 40.0 lakh term loan and overdraft, less cash of nil at the valuation date.

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Discount rate

The discount rate reflects the return an investor requires for the risk of these cash flows. We built it using the capital asset pricing model (CAPM) for the cost of equity and combined it with the cost of debt. The inputs below are illustrative. In a live report each input is cited with its source and date.

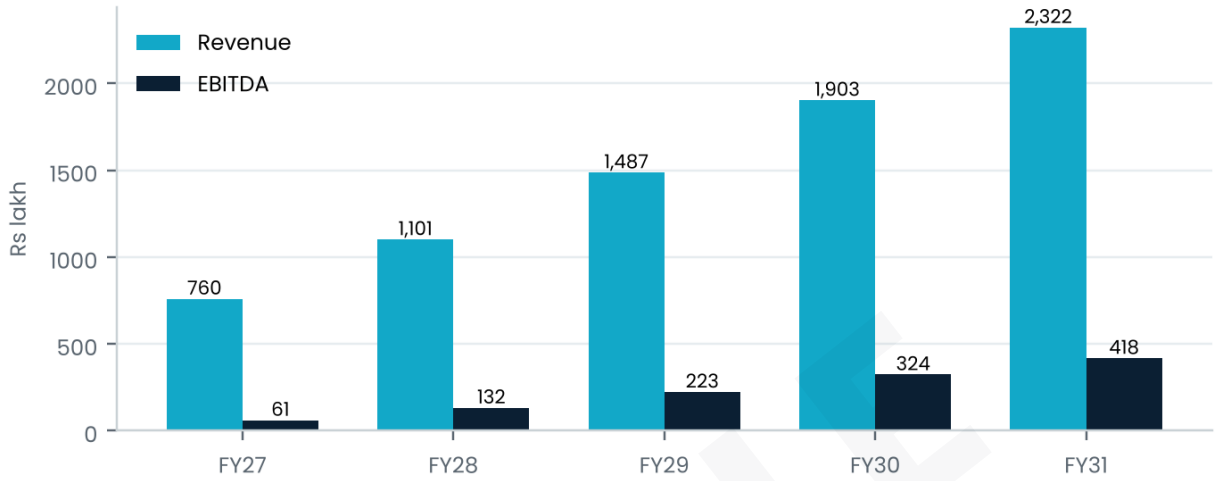
Component	Value	Comment
Risk-free rate	7.0%	Yield on a long-dated government security (illustrative)
Equity risk premium	7.0%	Extra return over the risk-free rate for equity (illustrative)
Beta	1.00	Relevered from listed personal care peers (illustrative)
Size premium	3.0%	Small company, thin liquidity
Company-specific risk	2.0%	Founder dependence, two marketplaces, two contract units
Cost of equity	19.0%	Rf + beta x ERP + size + specific
Pre-tax cost of debt	12.0%	Rate on the existing term loan
Post-tax cost of debt	8.98%	After tax at 25.17%
Target debt / (debt + equity)	15%	Long-run funding mix assumed
WACC (rounded)	17.5%	85% x cost of equity + 15% x post-tax cost of debt

The discount rate of 17.5% is typical of an early-stage consumer brand in India (illustrative). A change of one percentage point moves the DCF equity value by roughly 8 to 10%; see section 12.

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Financial projections



Rs lakh	FY27	FY28	FY29	FY30	FY31
Revenue	759.5	1,101.3	1,486.7	1,903.0	2,321.7
Growth	55%	45%	35%	28%	22%
EBITDA	60.8	132.2	223.0	323.5	417.9
EBITDA margin	8%	12%	15%	17%	18%
Less depreciation	(15.2)	(22.0)	(29.7)	(38.1)	(46.4)
EBIT	45.6	110.1	193.3	285.5	371.5
Less tax at 25.17%	(11.5)	(27.7)	(48.6)	(71.8)	(93.5)
NOPAT	34.1	82.4	144.6	213.6	278.0

Revenue is projected to reach Rs 2,322 lakh in FY31, a compound annual growth rate of 36%. EBITDA rises from Rs 61 lakh to Rs 418 lakh as margin expands.

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Discounted cash flow

Rs lakh	FY27	FY28	FY29	FY30	FY31
NOPAT	34.1	82.4	144.6	213.6	278.0
Add depreciation	15.2	22.0	29.7	38.1	46.4
Less capex	(22.8)	(33.0)	(44.6)	(57.1)	(69.6)
Less increase in working capital	(32.3)	(41.0)	(46.3)	(50.0)	(50.2)
Free cash flow (FCFF)	(5.8)	30.4	83.5	144.6	204.5
Discount period (years)	0.5	1.5	2.5	3.5	4.5
Discount factor at 17.5%	0.9225	0.7851	0.6682	0.5687	0.4840
Present value	(5.4)	23.9	55.8	82.2	99.0

Valuation bridge	Rs lakh
Sum of present values (FY27 to FY31)	255.5
Terminal value at FY31 = FCFF x (1 + 5%) / (17.5% - 5%)	1,717.9
Present value of terminal value	767.0
Enterprise value	1,022.5
Less: net debt	(40.0)
Equity value (DCF method)	982.5



The terminal value is 75% of enterprise value, which is typical for a growing company. Free cash flow is negative or small in the first years because working capital and capex absorb most of NOPAT while the business grows.

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Market approach

As a cross-check we applied a revenue multiple to FY26 revenue. Early-stage consumer brands are often priced this way. The multiples below are assumptions for this sample, not market data. In a live engagement the range comes from a documented set of listed companies and recent transactions, adjusted for size, growth and margin.

Revenue multiple (assumed)	Low 1.5x	Mid 2.0x	High 2.5x
FY26 revenue (Rs lakh)	490.0	490.0	490.0
Enterprise value	735.0	980.0	1,225.0
Less: net debt	(40.0)	(40.0)	(40.0)
Equity value (Rs lakh)	695.0	940.0	1,185.0

Why a discount or premium may apply

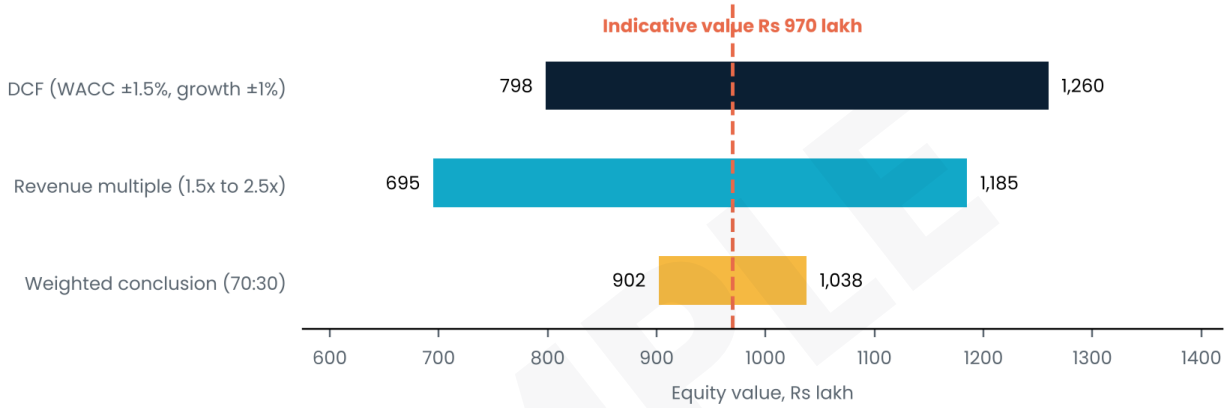
- Size and liquidity: the Company is small and unlisted, which argues for a discount to listed peers.
- Growth: growth above peers argues for a premium.
- Margin: EBITDA margin of 8% is below mature peers, which argues against the top of the range.
- We therefore use the mid multiple and give it 30% weight.

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Reconciliation of methods

Method	Low	Mid / base	High	Weight
DCF (WACC ±1.5%, growth ±1%)	798.5	982.5	1,259.5	70%
Revenue multiple (1.5x / 2.0x / 2.5x)	695.0	940.0	1,185.0	30%
Weighted indicative value				100%



We give 70% weight to the DCF because the Company has a credible five-year plan and its value comes from future cash flows. The remaining 30% goes to the market cross-check. The weighted equity value is Rs 969.8 lakh. The DCF and the market method differ by 5%, which is within the range we would expect for a company at this stage.

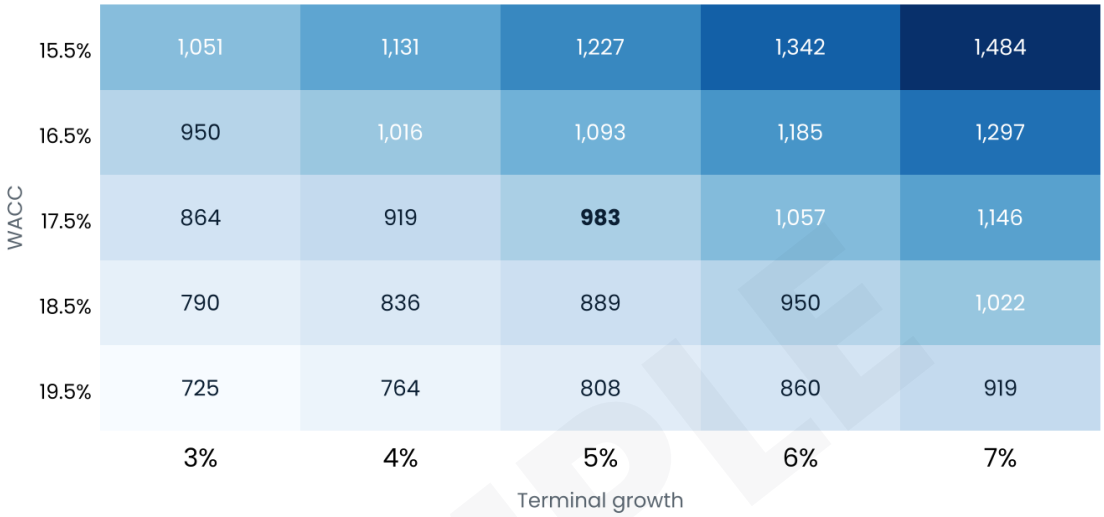
Equity value, Rs lakh	969.8
Fully diluted shares (100,000 issued and option pool)	100,000
Indicative value per share (Rs)	970

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Sensitivity analysis

Equity value under the DCF method (Rs lakh) as the discount rate and the terminal growth rate change. The base case is in bold.



Sensitivity to the final-year EBITDA margin

EBITDA margin in FY31	14%	16%	18% (base)	20%
DCF equity value (Rs lakh)	688	835	983	1,130

Each percentage point of FY31 EBITDA margin moves the DCF equity value by about Rs 74 lakh. Investors will test this assumption hardest, so the Company should be ready to show how purchasing, pricing and marketing efficiency support the margin path.

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Conclusion, limiting conditions and declaration

Conclusion

On the stated assumptions, the indicative equity value of Demo Naturals Private Limited as at 31 March 2026 is about Rs 970 lakh, within a DCF range of Rs 798 to 1,260 lakh. This conclusion applies to this fictional company only.

Limiting conditions

- This report is valid only for the stated purpose and valuation date and must not be used for any other purpose.
- We relied on information supplied by management and have not audited it. If it changes, the conclusion may change.
- A valuation is an estimate, not a price. Negotiation, deal terms and the buyer's own view can lead to a different price.
- The report does not give legal, tax, accounting or investment advice. A valuation for a statutory purpose needs a registered valuer's report.
- Projections are management's expectations. Actual results will differ, and the difference may be material.

Management representation

In a live engagement the directors sign a representation letter confirming that the information given is complete and accurate, that no material event has been withheld, and that the projections are their best estimate. The letter is listed in Annexure A.

Declaration

The valuer declares that the report is prepared independently, that the valuer has no interest in the Company or its shareholders, and that the fee is not linked to the conclusion. This is a sample and carries no signature.

For AlphaZet Services	Review
[Name of responsible professional] (not signed: sample)	Prepared by: analyst (sample)
[Registration number, where applicable]	Reviewed by: partner (sample)

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Annexures

Annexure A: documents relied on

#	Document	Status
1	Audited financial statements FY24 and FY25	Received
2	Management accounts FY26 (to 31 March 2026)	Received
3	Five-year business plan and assumptions book	Received
4	Shareholding table and cap table	Received
5	Term loan sanction letter and repayment schedule	Received
6	Contract manufacturing agreements (two units)	Reviewed for terms
7	Management representation letter	Signed in a live engagement

Annexure B: terms used

Term	Meaning
DCF	Discounted cash flow: value today of the cash a business is expected to produce
FCFF	Free cash flow to the firm: operating cash flow after tax and investment, before financing
WACC	Weighted average cost of capital: the blended return that equity and debt providers require
Terminal value	Value of cash flows beyond the explicit forecast period
EBITDA	Earnings before interest, tax, depreciation and amortisation
NOPAT	Net operating profit after tax
Net debt	Borrowings less cash and cash equivalents
Fair value	Price between willing buyer and seller with reasonable knowledge of the facts

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